| | Document No. | Section No. |
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| | Effective Date: | Revision No. |
| | **PROCEDURAL MANUAL** | |
| | **COST-CONTROL AND BUDGETING** | |

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| **OBJECTIVE** | This procedure outlines the process for establishing, managing, and controlling project budgets and costs within BHBI. The aim is to ensure that projects are completed within the approved budget, cost overruns are minimized, and financial performance is accurately tracked and reported. |
| **SCOPE** | This procedure applies to all projects undertaken by BHBI, from the initial project estimation and bidding phase through to project completion and closeout. It covers all aspects of project cost management, including budgeting, cost forecasting, cost monitoring, cost reporting, and change order management. |

**Responsibilities**

- **Project Manager:** Overall responsibility for managing the project budget and ensuring that costs are effectively controlled. Approves budget revisions and change orders.
- **Project Engineer:** Responsible for monitoring project costs during construction, identifying potential cost overruns, and implementing cost control measures on site.
- **Quantity Surveyor:** Responsible for preparing initial cost estimates, developing and managing the project budget, tracking actual costs, forecasting final costs, preparing cost reports, and managing the change order process.
- **Procurement:** Responsible for procuring materials, equipment, and services within the approved budget and for managing the contractual and financial aspects of variations with suppliers and subcontractors.
- **Office Engineer:** Responsible for maintaining cost records and documentation, including change order documentation.

**Procedure**

**4.1. Initial Project Estimation and Bidding**

- **Estimate Development:** The Quantity Surveyor prepares a detailed cost estimate based on the project scope, drawings, specifications, and other relevant documents. The estimate includes direct costs (labor, materials, equipment, subcontracts), indirect costs (overheads, insurance, permits), and contingencies.
    - **Deliverables:** Detailed Cost Estimate, Bill of Quantities (BOQ)
- **Estimate Review:** The Project Manager and senior management review the estimate to ensure its accuracy and completeness.
- **Bid Submission:** The company submits a bid proposal to the client, including the approved cost estimate.

**4.2. Budget Establishment (Post-Award)**

- **Contract Review:** Upon project award, the Project Manager and Quantity Surveyor review the contract documents to identify any changes or clarifications that may affect the project budget.
- **Baseline Budget Development:** The Quantity Surveyor develops a detailed baseline budget based on the approved cost estimate and any contract modifications. The budget is typically broken down by cost codes or work breakdown structure (WBS) elements.
    - **Deliverables:** Project Baseline Budget, Cost Breakdown Structure (CBS)
- **Budget Approval:** The Project Manager and senior management review and approve the baseline budget.

**4.3. Cost Forecasting and Monitoring**

- **Cost Data Collection:** The project team regularly collects cost data from various sources, including timesheets, invoices, purchase orders in QNE, and progress reports.
- **Cost Coding:** All cost data is coded according to the established cost codes or WBS to ensure accurate tracking and reporting.
- **Cost Entry and Tracking:** The Quantity Surveyor enters the cost data into the cost control system (e.g., accounting software, project management software, QNE) and tracks actual costs against the budget.
- **Cost Forecasting:** The Quantity Surveyor regularly updates the project cost forecast (Estimate at Completion - EAC) based on actual costs incurred, progress achieved, and anticipated future costs.
    - **Deliverables:** Updated Cost Forecast (EAC)
- **Variance Analysis:** The Quantity Surveyor analyzes variances between actual costs and budgeted costs, identifies the reasons for variances, and determines their potential impact on the project.
    - **Deliverables:** Variance Analysis Report

**4.4. Cost Reporting**

- **Regular Cost Reports:** The Quantity Surveyor prepares regular cost reports (e.g., weekly, monthly) that summarize the project's financial performance. The reports typically include:
    - Budgeted cost vs. actual cost.
    - Cost forecast (EAC).
    - Variances and explanations.
    - Cost performance index (CPI).
    - Schedule performance index (SPI).
    - **Deliverables:** Project Cost Reports
- **Management Review:** The Project Manager and senior management review the cost reports and discuss any significant variances or cost issues.

**4.5. Change Order Management:**

- **Change Order Identification:** Any changes to the project scope, design, or specifications that may affect the project budget are identified and documented. (Refer to the *Variation Order Procedure*)
- **Cost Impact Assessment:** The Quantity Surveyor assesses the cost impact of each change order.
- **Change Order Approval:** Change orders are submitted for internal and client approval (if needed), along with the estimated cost impact.
- **Budget Adjustment:** Once a change order is approved, the Quantity Surveyor adjusts the project budget accordingly.

**4.6. Procurement Management**

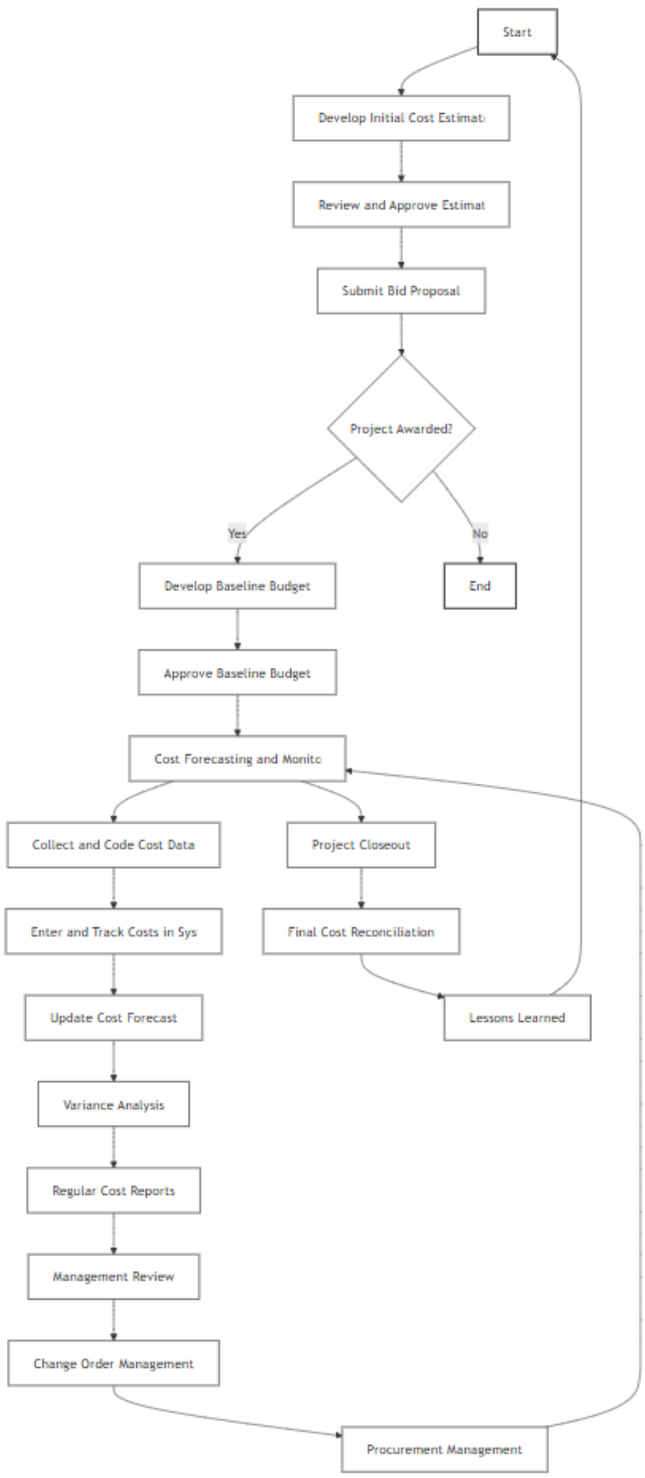
- **Procurement Planning:** Procurement, in collaboration with the Project Manager and Quantity Surveyor, develops a procurement plan that aligns with the project budget and schedule.

- **Supplier Selection:** Procurement selects suppliers based on competitive bidding, taking into account price, quality, and delivery time. (Refer to the *Procurement Procedure*, *Accreditation of Supplier and Contractor Procedure*, and *Bidding of Contractor Procedure*)
- **Purchase Order Issuance:** Procurement issues purchase orders to suppliers, specifying the agreed price, quantity, and delivery terms, using the QNE system.
- **Invoice Verification:** Procurement verifies invoices from suppliers against purchase orders and delivery receipts before payment is processed. (Refer to the *Procurement Procedure*)

**4.7. Project Closeout**

- **Final Cost Reconciliation:** The Quantity Surveyor reconciles all project costs and prepares a final cost report.
    - **Deliverables:** Final Project Cost Report
- **Lessons Learned:** The project team conducts a post-project review to identify lessons learned related to cost control and budgeting.

**Flow Chart**



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